CHAPTER SUMMARY

- Appreciation is the increase in a property's value over time. The appreciation cake comes in two flavors—market and forced—and you should aim for a home that has high potential for both.
- The national average for market appreciation is about 3.4 percent, but this can vary greatly depending on regional and local factors. Understand your local market, and keep your eyes peeled around the house you want to buy to avoid any unpleasant surprises after you move in.
- Don't buy the best house in the best neighborhood, which leaves little room for appreciation. Instead, go for the worst house in the best neighborhood—or, at least, the worst house you feel comfortable with.
- Forced appreciation is when you make an ugly house not so ugly. Not only do you spend less on the house because it is less desirable, but you can fix it up and get a big cash bonus from all that equity. Just make sure the projects you take on are worth their weight in added value.
- Don't forget about every person's favorite thing: *taxes!* (Did you flinch?) If you live in a property as a primary residence for two or more of the last five years, you can exclude up to $250,000 in capital gains tax as an individual—or $500,000 as a married couple—on the sale of that home.

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4 Amy Fontinelle, "Understanding the Case-Shiller Housing Index," Investopedia, February 11,2020, https://www.investopedia.com/articles/mortgages-real-estate/10/understanding-case-shiller-index.asp.